

Revision highlights

Check if you can:

1. state the condition for scarcity;
2. identify and calculate the full cost (money cost and non-money cost) of a choice;
3. explain whether and how cost changes under different circumstances;
4. differentiate and explain the features of economic goods and free goods;
5. explain why interest is the opportunity cost of earlier availability of goods or resources.

Key terms

economics 經濟學

microeconomics 微觀經濟學

macroeconomics 宏觀經濟學

wants 慾望

scarcity 稀少性

choice 選擇

opportunity cost 機會成本

full cost 全部成本

money cost 金錢成本

non-money cost 非金錢成本

time cost 時間成本

good 物品

economic good 經濟物品

free good 免費物品

interest 利息

barter 以物易物

Exam-type questions

1. Scarcity
 - A. will disappear when an economy gradually develops.
 - B. is a problem faced only by the poor.
 - C. is a result of limited resources.
 - D. implies people have to make choices.
2. Which of the following statements about scarcity is correct?
 - A. Scarcity is a result of the quantity available being insufficient to satisfy human wants.
 - B. Scarcity does not apply to goods with a large supply.
 - C. Without scarcity, people will still make choices.
 - D. The existence of free goods implies that scarcity does not exist in the real world.
3. Three years ago, Oscar bought a smartphone for \$5,000. Now, the battery has deteriorated, and he needs to spend \$1,000 to replace it if he wants to continue using the phone. Alternatively, he can resell the smartphone for \$2,000.
What is Oscar's cost of continuing to use the smartphone?
 - A. \$1,000
 - B. \$2,000
 - C. \$3,000
 - D. \$5,000

4. Winnie has \$1,000. The following shows her order of preference to spend the money:

1st preference: watch a boy band concert
 2nd preference: buy a pair of sports shoes
 3rd preference: buy a handbag

Which of the following may result in an increase in the cost of watching a boy band concert?

- A. One of the members of the boy band is sick and cannot perform at the concert.
- B. A superstar joins the concert as a special guest and sings two songs with the boy band.
- C. The pair of sports shoes is not as comfortable as she thought.
- D. The handbag becomes a trendy item after it is introduced by a fashion influencer.
5. Natalie, who works in Shenzhen, has a flat in Hong Kong. Which of the following will increase the opportunity cost of living in her flat in Hong Kong?
- A. The selling price of her flat decreases.
- B. The rent of flats in Hong Kong increases.
- C. The Hong Kong government increases the tax on the transfer of flats.
- D. The travelling time between Hong Kong and Shenzhen is reduced.
6. Tom is considering studying a master's degree at a university in Beijing or Hong Kong. Which of the following is a LEAST important factor in the cost-benefit analysis of his choice?
- A. The average income of master's graduates from a university in Beijing
- B. The average income of master's graduates from a university in Hong Kong
- C. The tuition fee for a master's degree programme in Beijing
- D. The fee already spent on reserving a place for the master's degree programme at a university in Hong Kong
7. Connie is a dog lover and plans to get a dog. Which of the following would increase Connie's cost of keeping a dog?
- A. Her parents do not like dogs.
- B. She is allergic¹ to dogs.
- C. She has a new boyfriend who is a veterinarian².
- D. She has found that playing with a dog helps reduce her stress level.
8. Steve has just spent \$200,000 on a new electric vehicle (EV). Which of the following will decrease his cost of using the EV?
- A. The maintenance fee for the EV increases.
- B. The retail price of a new EV of the same model decreases.
- C. The price of petrol cars increases.
- D. The resale price of his EV in the second-hand market decreases.
9. A local singer holds a concert along the waterfront of Victoria Harbour. The singer has found that the venue may not meet the requirements of the Fire Services Department. The opportunity cost for the singer to continue his concert would
- A. be zero as the singer has no choice but to continue the concert.
- B. remain unchanged as the expenses for the concert have already been spent.
- C. remain unchanged as the singer need not refund ticket holders.
- D. increase as the singer may bear legal responsibility for any accident at the concert.

10. Adam just got a consumption coupon worth \$5,000. The following shows his order of preference for using the coupon:

1st option: a smartphone priced at \$5,000
 2nd option: an instant camera priced at \$2,000
 3rd option: a laptop computer priced at \$3,000

The cost of buying the smartphone using the consumption coupon is

- A. the instant camera.
 B. the laptop computer.
 C. the instant camera and the laptop computer.
 D. zero because he does not give up scarce resources to get the consumption coupon.
11. An economic good must be
- A. transacted in a market.
 B. produced at a positive cost.
 C. sold at a positive price.
 D. a good for which more is preferred to less.
12. Which of the following statements about a free good is correct?
- A. Nobody wants the good.
 B. Everybody wants the good.
 C. It is provided by the government free-of-charge.
 D. It is not scarce.

13. MyObservatory is a mobile app developed by the Hong Kong Observatory that provides location-based weather information. It is available for download free of charge. The mobile app is a _____ because _____.

- A. free good it is free-of-charge
 B. free good it is provided by the government
 C. economic good its production involves scarce resources
 D. economic good it satisfies human wants

14. Interest may still exist

- (1) in a barter economy.
 (2) when there is no bank.
 (3) when there is no scarcity.

- A. (1) only
 B. (2) only
 C. (1) and (2) only
 D. (1), (2) and (3)

15. Which of the following statements about interest are correct?

- (1) For a borrower, interest is the premium paid for the earlier availability of goods or resources.
 (2) For a lender, interest is the compensation received for postponing consumption of goods or resources.
 (3) A lower interest rate will result in an increase in present consumption and a decrease in saving.

- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

16. William is considering whether to take a working holiday in Europe or work in Hong Kong. Explain whether the cost of taking a working holiday in Europe will change if:

- (a) there are more job opportunities in Hong Kong.
 (b) he is no longer in love with European culture.
 ★(c) the problem of pickpockets¹ in Europe becomes more serious.

(6 marks)

- ★ 17. Elaine, who was graduated with a bachelor's degree in economics, is considering her future. She has several options and her order of preference is as follows:

First option:	work at an investment bank
Second option:	study for a master's degree overseas
Third option:	work at an accounting firm

Explain whether the opportunity cost of studying for a master's degree overseas will **necessarily** remain unchanged, if:

- (a) investment banks have poor business prospects due to a financial crisis. (2 marks)
 - (b) she has a stronger desire to live elsewhere due to social instability in her home country. (3 marks)
 - (c) she has been offered a full scholarship for the master's degree, which covers all her tuition fees and accommodation expenses. (3 marks)
 - (d) the accounting firm has greatly increased the salary for graduates newly joining the firm. (3 marks)
18. 'Free goods do not exist in the real world since human wants are unlimited.' Do you agree? Explain. (2 marks)
19. Free shuttle-bus services are provided at some MTR stations to different destinations. Explain whether these services are 'free goods' or not. (2 marks)
20. Janet said, 'As many people hate the smell of durians, more durians are not preferred. So, durians are not an economic good.'
Explain whether Janet's statement is correct from the viewpoint of society. (2 marks)
21. Below is a poster for a political party.

Free mooncake!

Venue: ABC Shopping Mall

Time: 3:00 pm

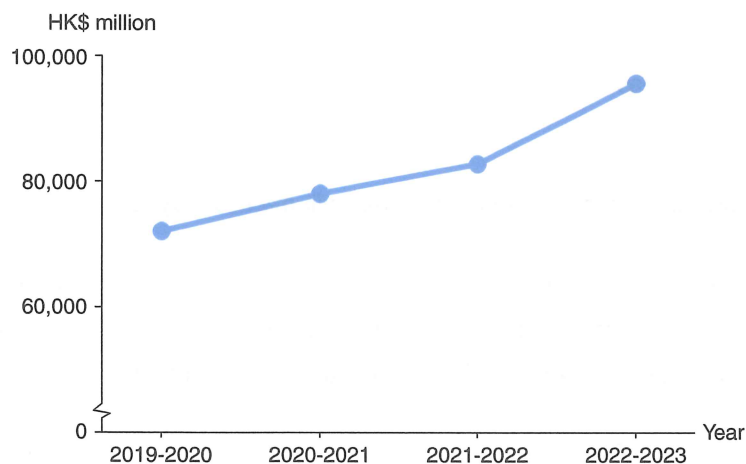
There is a long queue outside ABC Shopping Mall at 10:00 am.

- (a) Explain whether the free mooncake in the above situation is a free good. (2 marks)
 - (b) It is observed that most people in the queue are retired elderly people. Explain this in terms of opportunity cost. (3 marks)
22. Videos are available on YouTube free-of-charge.
- (a) Are the videos on YouTube free goods from society's point of view? (2 marks)
 - ★ (b) Suppose each free-of-charge video on YouTube contains advertisements at five-minute intervals. Alternatively, users can subscribe to the paid YouTube Premium service, which offers an advertisement-free experience.
For watching the same video, will the opportunity cost for a person who subscribes to YouTube premium be **necessarily** higher than that for a person who watches the video free-of-charge? Explain. (4 marks)

23. Refer to the following sources.

DATA

Source A: Hong Kong government's expenditure on health



Source: Census and Statistics Department

Source B: Percentage of total population by age in Hong Kong

	2020	2021	2022	2023
Below 15	11.1%	10.7%	10.3%	10.1%
15–64	69.8%	69.1%	68.4%	67.4%
65 or above	19.0%	20.3%	21.25%	22.4%

Source: Census and Statistics Department

- (a) Using data in Source B, explain the trend of expenditure on health shown in Source A. (2 marks)
- (b) Explain whether the government's opportunity cost of building a new public hospital will change if
- (i) the price of building materials increases. (3 marks)
 - (ii) more people prefer using private hospitals because they have medical insurance. (3 marks)

Extended activities

- List five holiday destinations and rank them by preference. Identify the opportunity cost of choosing each holiday destination. Name three circumstances such that the opportunity cost would change.
- Recall a time you chose a faster but more expensive travel option. Explain your reasons and relate them to the concepts of full cost and time cost.
- Choose a free good you use daily (e.g., air). Brainstorm a scenario where it becomes scarce (e.g., severe pollution). Explain how the good turns into an economic good and how your daily life will be affected.